AGA KHAN UNIVERSITY EXAMINATION BOARD

HIGHER SECONDARY SCHOOL CERTIFICATE

CLASS XII EXAMINATION

APRIL/ MAY 2019

Banking Paper II

Time: 2 hours 20 minutes Marks: 50

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INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's Signature**

RUBRIC

2. There are TWELVE questions. Answer ALL questions. Questions 11 and 12 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pointer to write your answers. DO NOT write your answers in pencil.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or in erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a scientific calculator if you wish.

Q.1. (Total 3 Marks)

Commercial banks are generally formed through legislation and the company's ordinance/ act.

Explain the general procedure followed to establish a private limited bank in Pakistan.

Q.2. (Total 3 Marks)

Describe any THREE merits of unit banking.

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Q.3. (Total 3 Marks)

a. Write the formula for computing credit creation. (1 Mark)

b. Alifya has deposited Rs 20,000 in a commercial bank and the current cash reserve ratio (CRR) prevailing in the country is 5%.

From the given information, calculate the amount of total credit creation. (2 Marks)

Q.4. (Total 3 Marks)

Describe any THREE limitations of credit creation in an economy.

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Q.5. (Total 4 Marks)

State Bank of Pakistan, in order to meet the deficit of balance of payment (BoP) issues Market Treasury Bills (MTBs).

Mention any FOUR features of the above issued treasury bills.

Q.6. (Total 4 Marks)

Mention any TWO differences between a cheque and a bank draft.

Cheque	Bank Draft
1.	1.
2.	2.

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Q.7. (Total 4 Marks)

Ali entered into a contract with an overseas supplier to import smartphones. For that, he requires a letter of credit (L/C).

In the given situation, discuss any FOUR steps/ documents that Ali will require for the opening L/C.

Q.8. (Total 4 Marks)

Central bank of a country designs policies for controlling credit in an economy. Explain any FOUR objectives of such policy.

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Q.9. (Total 5 Marks)

a. Explain features of any TWO components of balance of payment (BoP). (3 Marks)

b. Explain the Purchasing Power Parity (PPP) theory along with its formula. (2 Marks)

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Q.10. (Total 5 Marks)

Describe any FIVE functions of Zarai Taraqiyati Bank Limited (ZTBL).

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Q.11. (Total 6 Marks)

EITHER

a. Adil is an account opening officer in a bank. His job description entails him to provide similar facilitation to new clients. In order to make his job easier, he plans to develop a standard operating procedures (SoP) that lists the prerequisites for opening a personal bank account.

Describe any THREE features he should mention in the SoP.

OR

b. Describe any THREE objectives of a monetary policy.

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Q.12. (Total 6 Marks)

EITHER

a. Differentiate between bearer, order and cross cheques on the basis of the given criteria. (6 Marks)

Criteria	Bearer Cheque	Order Cheque	Cross Cheque
Nature			
Payment			
Safety			

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OR

b. On June 1, 2018 Saleem sold goods to Naveed on credit for Rs 50,000. Naveed ordered his supplier Shahid to pay on his behalf. Saleem drew a two months bill and sent it to Shahid for acceptance. On June 05, 2018, Saleem received the acceptance from Shahid.

With reference to the given situation, answer the following

i. Identify the given instrument. (1 Mark)

ii. Describe any FOUR characteristics of instrument identified in part i. (5 Marks)

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END OF PAPER

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